

# STATE OF NEW YORK

5662--A

2025-2026 Regular Sessions

## IN SENATE

February 26, 2025

Introduced by Sens. KAVANAGH, FERNANDEZ -- read twice and ordered printed, and when printed to be committed to the Committee on Housing, Construction and Community Development -- recommitted to the Committee on Housing, Construction and Community Development in accordance with Senate Rule 6, sec. 8 -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the private housing finance law, in relation to authorizing a reduction of taxes pursuant to shelter rent

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

Section 1. Paragraph (a) of subdivision 1 of section 33 of the private housing finance law, as amended by section 1 of part L of chapter 56 of the laws of 2025, is amended to read as follows:

(a) Upon the consent of the local legislative body of any municipality in which a project is or is to be located, the real property in a project shall be exempt from local and municipal taxes, other than assessments for local improvements, to the extent of all or part of the value of the property included in such project which represents an increase over the assessed valuation of the real property, both land and improvements, acquired for the project at the time of its acquisition by the limited-profit housing company, provided, however, that the real property in a project acquired for purposes of rehabilitation shall be exempt to the extent of all or part of the value of the property included in such project, and further provided that the amount of such taxes to be paid for projects located or to be located in a municipality with a population of less than one million shall not be less than ten per centum of the annual shelter rent or carrying charges of such project except that for projects located or to be located in a city of a population of one million or more, the amount of such taxes shall not be ~~[no more than five per centum of the annual shelter rent or carrying charges of the project]~~ assessed. Upon the consent of the local legis-

EXPLANATION--Matter in italics (underscored) is new; matter in brackets ~~[-]~~ is old law to be omitted.

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lative body of a municipality, other than a city with a population of one million or more, in which the project is located, the amount of such taxes may be further reduced to five per centum or less of the annual shelter rent or carrying charges of the project. Any such granted consent to reduce the amount of such taxes shall expire every ten years. If such authorization is not renewed, the rate of taxation shall revert to the level established before the consent was granted. Shelter rent shall mean the total rents received from the occupants of a project less the cost of providing to the occupants electricity, gas, heat and other utilities. Total rents shall include rent supplements and subsidies received from the federal government, the state or a municipality on behalf of such occupants but shall not include interest reduction payments pursuant to subdivision (a) of section two hundred one of the Federal Housing and Urban Development Act of nineteen hundred sixty-eight. The tax exemption shall operate and continue so long as the mortgage loans of the company, including any additional mortgage loan the proceeds of which are used primarily for the residential portion of the project, which additional loan is approved by the commissioner or the supervising agency, are outstanding.

§ 2. Paragraph (c) of subdivision 1 of section 33 of the private housing finance law, as amended by section 2 of part L of chapter 56 of the laws of 2025, is amended to read as follows:

(c) Notwithstanding the provisions of paragraphs (a) and (b) of this subdivision, the real property of a state urban development corporation project acquired, owned, constructed, managed or operated by a company incorporated pursuant to the not-for-profit corporation law and this article shall be entitled to all the benefits provided by section four hundred twenty-two of the real property tax law. The real property of a state urban development corporation project, other than a state urban development corporation project acquired, owned, constructed, managed or operated by a company incorporated pursuant to the not-for-profit corporation law and this article, shall be exempt from all local and municipal taxes, other than assessments for local improvements, to the extent of the value of the property included in such project as represents an increase over the assessed valuation of the real property, both land and improvements, acquired for the project on the date of its acquisition by the limited-profit housing company, provided that the amount of such taxes to be paid for projects located or to be located in a municipality with a population of less than one million shall not be less than ten per centum of the annual shelter rent or carrying charges of such project, as defined in paragraph (a) hereof, except that in a city with a population of one million or more, the amount of such taxes shall not be ~~[no more than five per centum of the annual shelter rent or carrying charges of the project]~~ assessed. Upon the consent of the local legislative body of the municipality, other than a city with a population of one million or more, in which the project is located, the amount of such taxes may be further reduced to five per centum or less of the annual shelter rent or carrying charges of the project. Any such granted consent to reduce the amount of such taxes shall expire every ten years. If such authorization is not renewed, the rate of taxation shall revert to the level established before the consent was granted. The tax exemption shall operate and continue so long as the mortgage loans of such limited profit housing company, including any additional mortgage loan the proceeds of which are used primarily for the residential portion of the project, which additional loan is approved by the commissioner or the supervising agency, are outstanding and the project is

1 continued to be operated as a limited-profit housing project. If a state  
2 urban development corporation project qualifying for tax exemption  
3 pursuant to this paragraph is sold, with the approval of the commission-  
4 er, to another limited-profit housing company, such successor company  
5 shall be entitled to all the benefits of this paragraph. In the event  
6 that such sale is to a company incorporated pursuant to the not-for-pro-  
7 fit corporation law and this article, such successor company shall be  
8 entitled to all the benefits provided by section four hundred twenty-two  
9 of the real property tax law.

10 § 3. Paragraph (d) of subdivision 1 of section 33 of the private hous-  
11 ing finance law, as amended by section 3 of part L of chapter 56 of the  
12 laws of 2025, is amended to read as follows:

13 (d) Notwithstanding the provisions of paragraphs (a) and (b) of this  
14 subdivision, when a project is financed with a mortgage loan pursuant to  
15 this article or article three of this chapter and (i) there is a partic-  
16 ipation, new loan or investment pursuant to section twenty-three-b of  
17 this article or (ii) such mortgage loan is assigned, modified or satis-  
18 fied pursuant to section twenty-three-a or forty-four-b or subdivision  
19 twenty-two-a of section six hundred fifty-four of this chapter, the real  
20 property of the project shall be exempt from all local and municipal  
21 taxes, other than assessments for local improvements, to the extent of  
22 the value of the real property included in such project which represents  
23 an increase over the assessed valuation of the real property, both land  
24 and improvements, acquired for the project on the date of its original  
25 acquisition for the project by the original mortgagor under a mortgage  
26 loan pursuant to this article or article three of this chapter, provided  
27 that the amount of taxes to be paid on the project for projects located  
28 or to be located in a municipality with a population of less than one  
29 million shall not be less than ten per centum of the annual shelter rent  
30 or carrying charges of such project, as defined in paragraph (a) of this  
31 subdivision, except that in a city with a population of one million or  
32 more, the amount of such taxes shall not be [~~no more than five per~~  
33 ~~centum of the annual shelter rent or carrying charges of the project~~]  
34 assessed. Upon the consent of the local legislative body of the munic-  
35 ipality, other than a city with a population of one million or more, in  
36 which the project is located, the amount of such taxes may be further  
37 reduced to five per centum or less of the annual shelter rent or carry-  
38 ing charges of the project. Any such granted consent to reduce the  
39 amount of such taxes shall expire every ten years. If such authorization  
40 is not renewed, the rate of taxation shall revert to the level estab-  
41 lished before the consent was granted. Such tax exemption shall commence  
42 in each instance from the date when the project becomes subject to a  
43 mortgage insured by the federal government and shall operate and contin-  
44 ue so long as a mortgage on such project is insured or held by the  
45 federal government or so long as the project is thereafter owned by the  
46 federal government or so long as any residual indebtedness is outstand-  
47 ing, whichever is longer. When there is a participation, new loan or  
48 investment pursuant to section twenty-three-b of this article, such  
49 participation, new loan or investment shall be deemed to be the equiv-  
50 alent of a federally insured mortgage for purposes of this paragraph.  
51 Nothing contained in this paragraph shall be construed to limit or  
52 otherwise impair the benefits available to any company eligible for  
53 exemption from taxation pursuant to section thirty-one or section thir-  
54 ty-six-a of this article, section four hundred twenty-two or section  
55 four hundred sixty-seven-c of the real property tax law, or section  
56 fifty-eight of the public housing law. The foregoing shall not be deemed

1 to authorize any company to receive the benefits of any exemption from  
2 taxation in contravention of the provisions of section two of article  
3 eighteen of the constitution.

4 § 4. Subdivision 4 of section 33 of the private housing finance law,  
5 as amended by section 4 of part L of chapter 56 of the laws of 2025,  
6 is amended to read as follows:

7 4. Notwithstanding the provisions of subdivision one ~~[hereof]~~ of this  
8 section, when a mutual company is organized under this article to facil-  
9 itate the acquisition of a building by residents thereof, the amount of  
10 local and municipal taxes, other than assessments for local improve-  
11 ments, to be paid on the real property included in such project, both  
12 land and improvements, shall not exceed twenty per centum of the annual  
13 shelter rent or carrying charges of such project, as defined in para-  
14 graph (a) of subdivision one ~~[hereof]~~ of this section; provided, howev-  
15 er, that where such acquisition of a building by residents thereof  
16 involves the financing of rehabilitation or other improvement as well as  
17 acquisition, upon the consent of the local legislative body of the muni-  
18 cipality in which the project is located the amount of such taxes for  
19 projects located or to be located in a municipality with a population of  
20 less than one million may be further reduced provided that such amount  
21 shall not be less than ten per centum of the annual shelter rent or  
22 carrying charges of the project, as defined in paragraph (a) of subdivi-  
23 sion one ~~[hereof]~~ of this section, or such other amount less than ten  
24 per centum approved by the local legislative body of such municipality;  
25 or the company may in lieu of requesting such consent apply for the  
26 benefits of the local law, if any, enacted pursuant to section four  
27 hundred eighty-nine of the real property tax law. Notwithstanding any  
28 other provision of this subdivision, in a city with a population of one  
29 million or more, the amount of such taxes shall not be ~~[no more than~~  
30 ~~five per centum of the annual shelter rent or carrying charges of the~~  
31 ~~project]~~ assessed. Upon the consent of the local legislative body of the  
32 municipality, other than a city with a population of one million or  
33 more, in which the project is located, the amount of such taxes may be  
34 further reduced to five per centum or less of the annual shelter rent or  
35 carrying charges of the project. Any such granted consent to reduce the  
36 amount of such taxes shall expire every ten years. If such authorization  
37 is not renewed, the rate of taxation shall revert to the level estab-  
38 lished before the consent was granted. Such tax exemption, if any,  
39 granted pursuant to this article shall operate and continue so long as a  
40 loan made under this article or any subsequent loan approved by the  
41 commissioner or the supervising agency to enhance the residential  
42 portion of the project and the project is continued to be operated for  
43 the purposes set forth in this article is outstanding.

44 § 5. Paragraph (a-4) of subdivision 1 of section 125 of the private  
45 housing finance law, as amended by chapter 430 of the laws of 2025, is  
46 amended to read as follows:

47 (a-4) Any inconsistent provision of law notwithstanding, in a city  
48 having a population of one million or more, where a local legislative  
49 body has acted to extend the tax exemption of a mutual redevelopment  
50 company for the maximum period provided for in paragraph (a-2) of this  
51 subdivision, the local legislative body may grant an additional full tax  
52 exemption ~~[for a period of up to fifty years, provided that the amount~~  
53 ~~of taxes to be paid during any such period of tax exemption shall be not~~  
54 ~~less than an amount equal to the lesser of (i) five per centum of the~~  
55 ~~annual rent or carrying charges of the project minus utilities for the~~  
56 ~~residential portion of the project, or (ii) the taxes payable by such~~

1 ~~company for the residential portion of the project during the tax year~~  
2 ~~commencing July first, two thousand and ending on June thirtieth, two~~  
3 ~~thousand one] to such a company.~~ Such grant of an additional full tax  
4 exemption [~~period~~] shall take effect upon the expiration of the maximum  
5 period provided for in paragraph (a-2) of this subdivision.  
6 § 6. This act shall take effect immediately.